Revision with answers

Accounting Principles 1

CHAPTERS 1,2

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1. **The first required step in the accounting cycle is ……. .**
   a) reversing entries.
   b) journalizing transactions in the book of original entry.
   c) analyzing transactions.
   d) posting transactions
2. **All of the following are property, plant, and equipment except …… .**
   a) supplies.
   b) machinery.
   c) land.
   d) buildings.
3. **Liabilities are generally classified on a balance sheet as …… .**
   a) small liabilities and large liabilities.
   b) present liabilities and future liabilities.
   c) tangible liabilities and intangible liabilities.
   d) current liabilities and long-term liabilities.
4. **On May 14, Arizona Company purchased supplies of $2,000 on account. The entry to Record the purchases will include ……**
   a) **A debit to Supplies and a credit to Accounts Payable.**
   b) A debit to Supplies Expense and a credit to Accounts Receivable.
   c) A debit to Supplies and a credit to Cash.
   d) A debit to Accounts Receivable and a credit to Supplies.
5. **On June 1, 2021, Mona Company reported a cash balance of $12,000. During June, Donna -made deposits of $5,000 and made disbursements Totaling $16,000. What is the cash Balance at the end of June ?**
   a) $1,000 debit balance
   b) $15,000 debit balance
   c) $1,000 credit balance
   d) $4,000 credit balance
6. **DINA started her business by $100,000 as capital, during the year ,Dina Contributed building worth $50,000 to the business and purchased assets totaled $90,000, the drawings during the period equal $5000. What would be the capital at the end of the period?**
   a) Zero
   b) $100,000
   c) $150,000
   d) $145,000

7. Which of the following statements is false?

A) Revenues increase owner's equity.
B) Revenues have normal credit balances.
C) Revenues are a positive factor in the computation of net income.
D) Revenues are increased by debits

8. Which of the following rules is incorrect?

A) Credits decrease the drawing account.
B) **Debits increase the capital account**.
C) Credits increase revenue accounts.
D) Debits decrease liability accounts

9. DINA's company purchases equipment for $1500 and furniture for $1200 from Alex's company for $2700 cash, the entry for this transaction will include …… .

A) **Credit to cash for Alex**.
B) Credit to accounts payable for donia.
C) debit to equipment $1500 and debit to furniture $1200 for Alex.
D) debit to equipment $1500 and furniture $1200 for dina's company.

10. the capital at the end of the year should appear on …… .

A) owners' equity statement.
B) cash flow statement.
C) balance sheet.
D) **A &C** .
E) All of these.

11. A capital account balance …… .

A) May be debit.
B) May be credit.
C) **Always credit**.
D) Always debit.

12. A liability account …… .

A) May be debit.
B) May be credit.
C) May be debit or credit.
D) Always credit.

13. At September 1, 2020, Foil Co. reported owner's equity of $136,000. During the month, Foil generated revenues of $20,000, incurred expenses of $12,000, purchased equipment for $5,000 and withdrew cash of $2,000. What is the amount of owner's equity at September 30, 2020?

A) $136,000
B) $8,000

C) $137,000
D) $142,000

14. After transaction information have been recorded in the journal, it is transferred to the
A) trial balance.
B) income statement.
C) book of original entry.
D) Ledger

15. On July 7, 2022, Rethink Company performed cash services of $1,400. The entry to record this transaction would include
A) a debit to Service Revenue of $1,400.
B) a credit to Accounts Receivable of $1,400.
C) a debit to Cash of $1,400.
D) a credit to Accounts Payable of $1,400.
A)

16. Jack withdraws $500 cash from his business for personal use. The entry for this transaction will include a debit of $500 to
A) Jack, Drawing.
B) Jack, Capital.
C) Owner's Salary Expense.
D) Salaries Expense.

17. On May 4, Carter a carpenter, received a cash payment for services previously billed to a client. Carter paid his telephone bill, and he also bought equipment on credit. For the three transactions, at least one of the entries will include a
A) credit to Nick Carter, Capital.
B) credit to Notes Payable.
C) debit to Accounts Receivable.
D) credit to Accounts Payable

18. Cerner Company showed the following balances at Jan.1 of its Seconed year:

Cash	$ 5,000
Prepaid insurance	500
Accounts receivable	2,500
Rent payable	2,000
Notes payable	3,000
Cerner, Capital	1,000
Cerner, Drawing	500
Revenues	15,000
Expenses	12,500

What did Cerner Company show as Net profit?

A) $2,500
B) $21,000
C) $20,500
D) $22,000

19. Ending capital for the company will be

A) 2500.
B) 1000.
C) 6000.
D) **3000**.

20. Dawson's Delivery Service purchased equipment ,. Dawson paid $500 in cash and signed a note for 2000. Dawson debited the Equipment account for

A) 3000.
B) 3500.
C) 1500.
D) 2500

21. Net income for a period generated from:

A) **Business activities**.
B) Drawings.
C) Additional investments.
D) Liabilities.

22. A future economic sacrifices of benefits resulting from current obligations to transfer or render services to other entities in the future as a result of past transactions, are a (n):

A) Assets
B) Liabilities
C) Expenses
D) Revenues

23.

Use the following information to answer questions from 23 to 30:

The financial records of Waleed's shop show the following items:
Accounts Payable $90,000, Accounts receivable $100,000, Land $340,000
Cash $40,000, Equipment $300,000, Buildings $500,000
Notes payable $470,000, Computers $240,000, Long term loans $400,000
Inventory $100,000, Beginning capital $600,000, Drawings $100,000

Sales Revenues $200,000, Service Revenues $100,000, Salaries expense $60,000 Rent expense $30,000, Advertising expense $20,000, Utilities expense $30,000

24. What did Waleed's shop show as total credits?

A) $1.000, 000
B) $1.680, 000
C) **$1.860, 000**
D) $1.580, 000

25. The total revenues are:

A) $300,000
B) $200,000
C) $100,000
D) $400,000

26. The total expense are:

A) $90,000
B) $120,000
C) **$140,000**
D) $60,000

27. The net income of Waleed's shop is:

A) $435,000
B) $160,000
C) $135,000
D) $300,000

28. The ending capital of Waleed's shop is:

A) $600,000
B) $500,000
C) $660,000
D) $760,000

29. The total Assets are:

A) $580,000
B) $240,000
C) $1,380,000
D) **$1,620,000**

30. The total Liabilities are:

A) $400,000
B) $470,000
C) $1,380,000
D) $960,000

31. The total Liabilities & Equity are:

A) $580,000
B) $240,000
C) $1,380,000
D) $1,620,000

32. If salaries expenses are paid for $8,000 in cash. The effect of this transaction on the equation is as follows:

A) **A Decrease in Assets & a decrease in owner's equity**.
B) An increase in Assets & an increase in owner's equity
C) A Decrease in Assets & an increase in owner's equity.
D) An increase in Assets & a decrease in owner's equity

33. ..... states that "Each transaction has two sides. One debit and one credit. The debit should be equal to the credit".

A) The double entry system
B) The Debit and Credit Rule
C) The cost principle
D) The matching principle

34. Owner's equity is increased by:

A) Assets
B) Liabilities
C) owner's equity
D) Expenses
E) Revenues

35. Assets of Ahmed Company increased by $312,000, also its liabilities increased by$270,000. Owner's equity:

A) Decreased by $42,000
B) Decreased by $582,000
C) Increased by $42,000
D) Increased by $582,000

36. ..... reports the financial position of the entity at a specific date

A. Income statement
B. Owner's equity statement
C. Balance sheet
D. Cash flow statement

37. The following are external reports, except
A. Balance sheet
B. Cash flow statement
C. Income statement
D. Budgets

38. The following are external users of accounting information, except
A. Management
B. Creditors
C. Investors
D. Customers

39. ..... are expected economic benefits owned or controlled by the entity
A. Assets

B. Liabilities
C. Owner's equity
D. Revenues

40. …….. are future economic sacrifices of benefits resulting from current obligations
A. Assets
B. Liabilities

C. Owner's equity
D. Expenses

41. Which of the following items are liabilities?
A. Rent
B. **Rent payable**
C. Notes Receivable
D. Accounts Receivable

42. "Debit" is an accounting terminology refers to:
A. Decrease both assets and liabilities
B. Decrease assets and increase liabilities
C. Increase both assets and liabilities
D. **Increase assets and decrease liabilities**

43. When the owner deposits $30,000 in the bank as capital:
A. **The assets increase by 30,000, owner's equity increases by 30,000**
B. The assets decrease by 30,000, owner's equity decreases by 30,000
C. The assets increase by 30,000, owner's equity decreases by 30,000
D. The assets decrease by 30,000, owner's equity increases by 30,000

44. When the entity purchases an office building on credit, the effect is:
A. Increase in assets and decrease in owner's equity
B. Decrease in assets and increase in owner's equity
C. **Increase in assets and liabilities**

D. Increase in assets and owner's equity

45. When the entity paid salaries in cash, the effect is:
A. Increase in assets and owner's equity
B. **Decrease in assets and owner's equity**
C. Increase in assets and decrease in owner's equity
D. Decrease in assets and increase in owner's equity

46. **If the company sold some assets at cost in cash, the effect is:**
A. Increase in assets and owner's equity
B. Increase in assets and decrease in owner's equity
C. Decrease in assets and owner's equity
D. **Increase in one asset and decrease in another asset**

46. **If liabilities decreased by $50,000,**
A. Assets may be increased by $50,000
B. **Owner's equity may be decreased by $50,000** Doctor

C. Assets and Owner's equity may be decreased by $50,000
D. None of the above student

47. The accounting equation for Mona's entity is:
$200,000 = $60,000 + $140,000. If land is purchased in cash for $50,000:
A. $250,000 = $60,000 + $190,000
B. $150,000 = $10,000 + $140,000
C. $250,000 = $110,000 + $140,000
D. **$200,000 = $60,000 + $140,000**